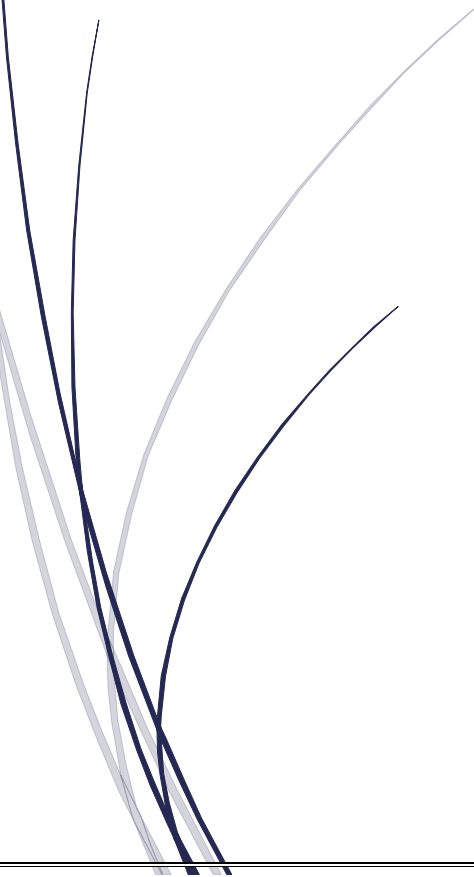




2/9/2025

Setup Functional Location in Asset management Microsoft Dynamics 365 F&O

Blog Series 1 Part # 1



Blog series 1 Part 1
Rehan Ahmed

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Blog Series 1 Configure asset management

Part 1 Functional Location Setup

The objective of this series of blogs is to learn the Asset management setup, configuration, and structure including the implementation of the asset management in D365 F&O.

This series of blogs contains 2 categories

- 1) Setup and configuration (Multiple blogs)
- 2) End to end Process (multiple blogs)

Introduction

The prerequisite to start using the Asset Management module is to set up and configure the functional locations. Functional locations are used to identify the location of the assets that are installed, some examples are, workshops, warehouse buildings, maintenance area

This blog will explain how to configure the following

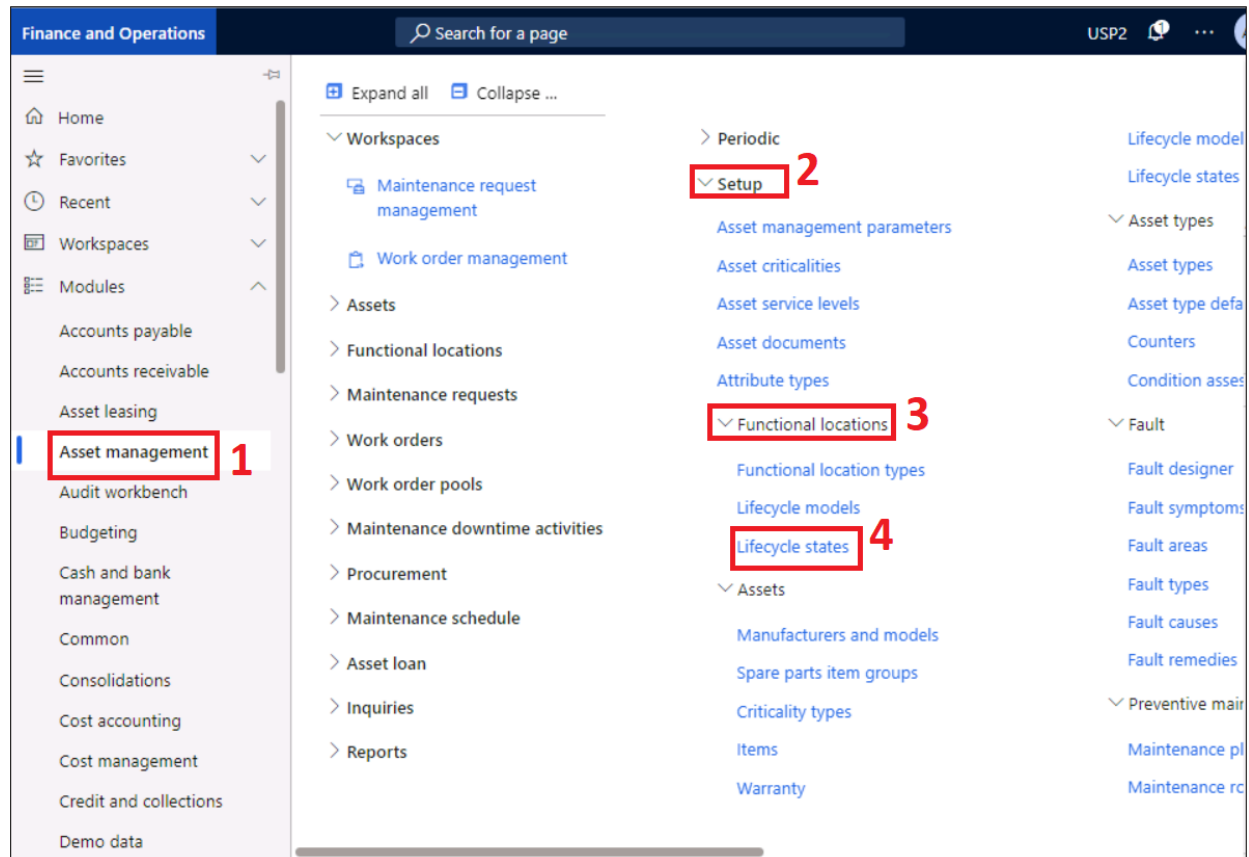
- Functional location lifecycle states
- Functional location lifecycle models
- Functional location types
- Attribute types

Create a functional location lifecycle state

Add a new functional lifecycle state for closed functional locations:

1. Go to **Asset management > Setup > Functional locations > Lifecycle states**.

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2. Select **New** on the Action Pane to create a new functional location lifecycle state.
3. In the **Lifecycle state** section, enter the new lifecycle state as **Closed**.
4. In the **Name** field, enter the lifecycle state as **Closed – Not in use**. When you are creating a new lifecycle state, the Lifecycle model field will not be populated. When this lifecycle state is added to a lifecycle model, this field automatically populates to show the number of lifecycle models that this state is included in.
5. On the **General** FastTab, select **Yes** on the **Active** toggle button to activate the state.
6. Because you are creating a closed state, leave the **Create asset** toggle button set to **No**.
7. Keep the **New sub locations** toggle button set to **No**.
8. Keep the toggle button set to **No** on the **Install assets at locations**.
9. When initially building your lifecycle states, you will not have any information yet to select from the **Asset state > Lifecycle state** drop-down menu until you have completed the full configuration for your assets, including the asset lifecycle states. Leave this field blank for now.

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10. Select **Save**. Your new functional location lifecycle state has been created and activated.

The screenshot shows the 'Functional location lifecycle states' form in the Microsoft Dynamics 365 Finance and Operations interface. The 'Save' button is highlighted with a red box and a '5' label. The 'New' button is highlighted with a red box and a '1' label. The 'Closed' lifecycle state is selected in the left pane, highlighted with a red box and a '5' label. The 'Lifecycle state' and 'Name' fields are highlighted with a red box and a '2' label. The 'Details' section is expanded, highlighted with a red box and a '3' label. The 'Active' toggle is highlighted with a red box and a '4' label.

11. Repeat above steps 1- 10 to create an **On Hold** lifecycle state.

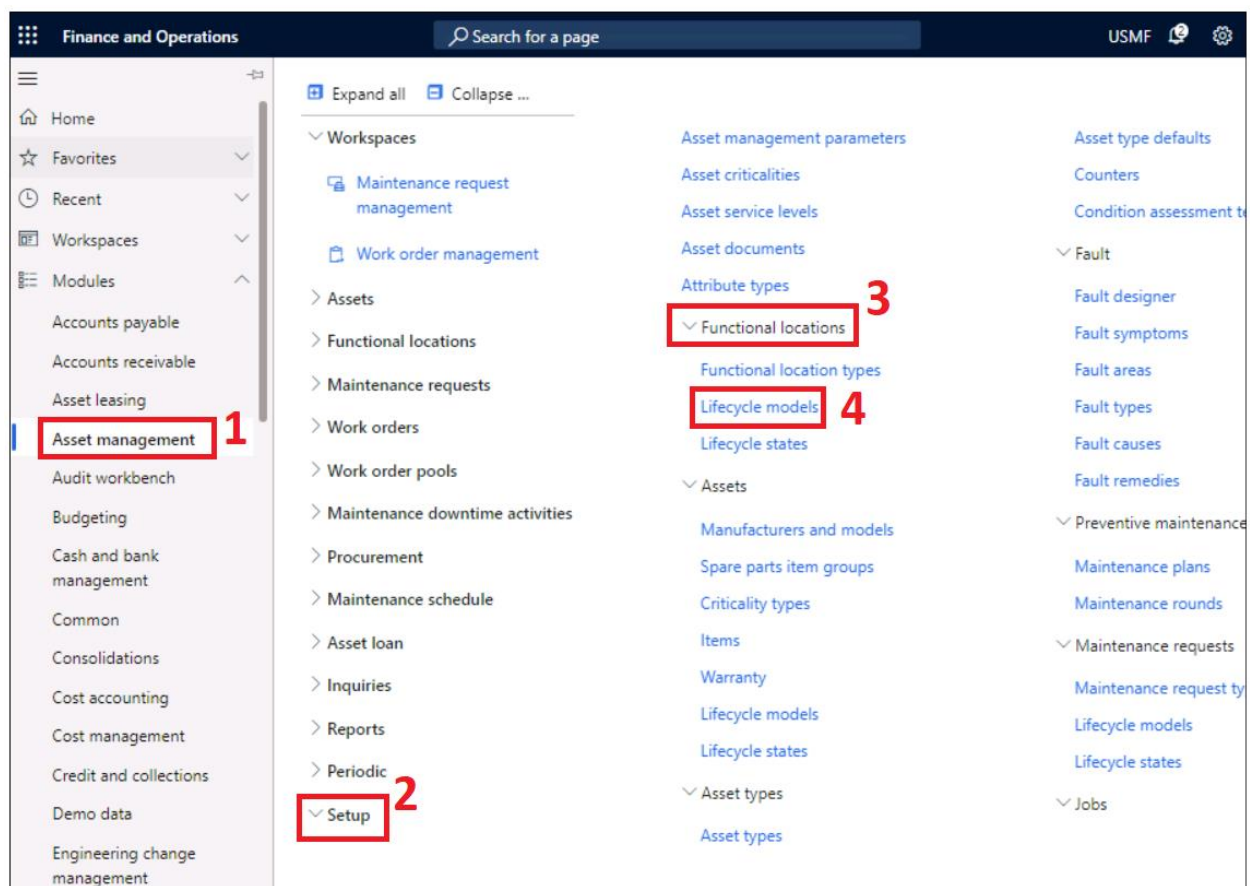
The screenshot shows the 'Functional location lifecycle states' form in the Microsoft Dynamics 365 Finance and Operations interface. The 'Save' button is highlighted with a red box and a '4' label. The 'New' button is highlighted with a red box and a '1' label. The 'On Hold' lifecycle state is selected in the left pane, highlighted with a red box and a '4' label. The 'Lifecycle state' and 'Name' fields are highlighted with a red box and a '2' label. The 'Details' section is expanded, highlighted with a red box and a '3' label. The 'Active' toggle is highlighted with a red box and a '3' label.

Create a functional location lifecycle model

When all the functional location lifecycle states have been created, you can now place these into groupings called functional location lifecycle models. As a reminder, functional location lifecycle models establish the workflow for the various types of functional locations and their states.

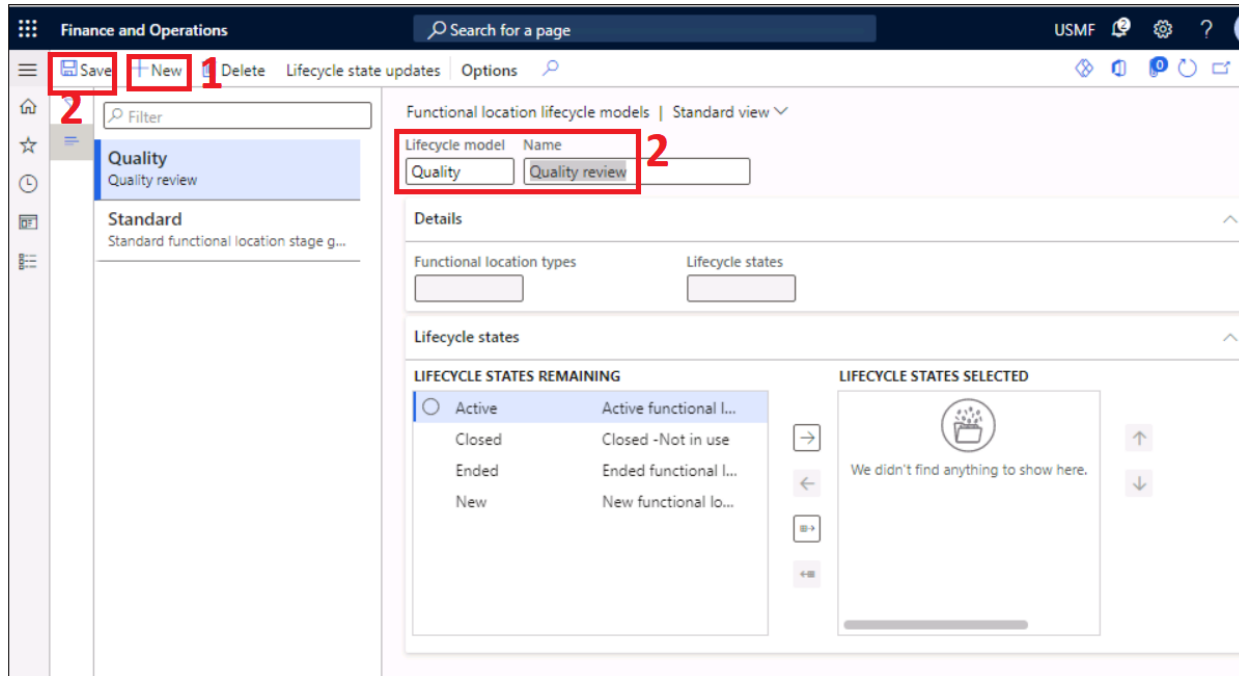
Munson's Pickles and Preserves Farm has a new lifecycle model they want created for their new Quality location.

1. Go to **Asset management > Setup > Functional locations > Lifecycle models**.

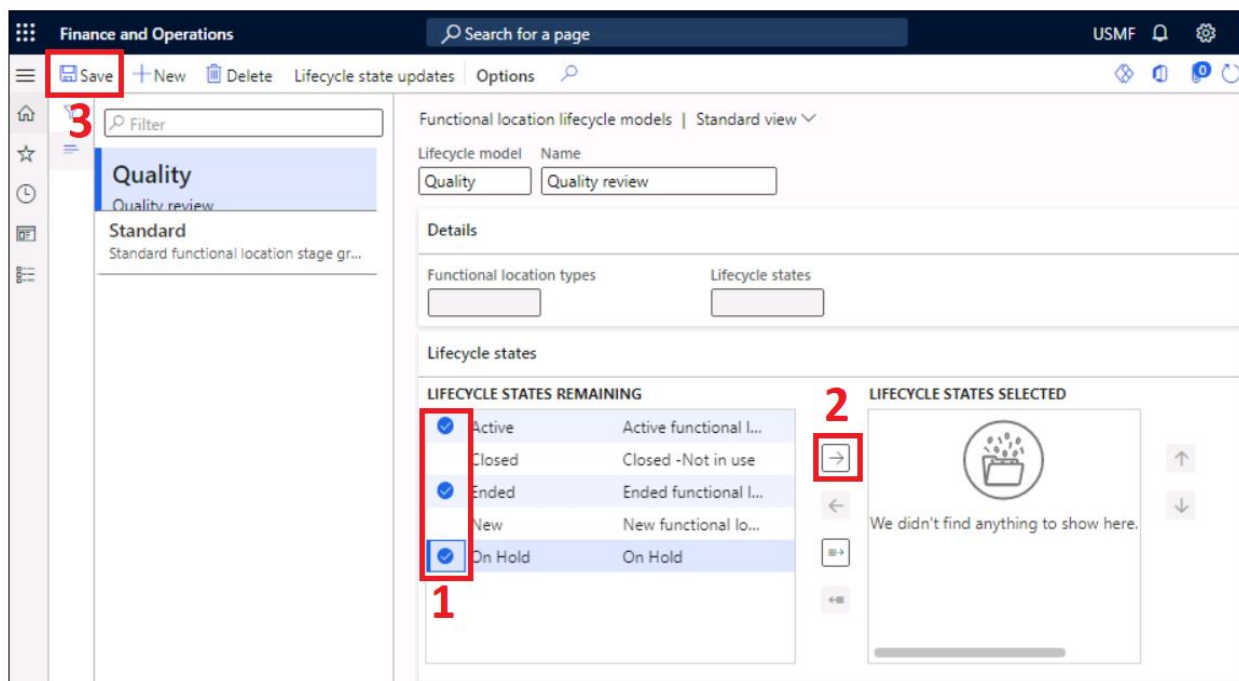


2. Select **New**.
3. Enter the name of your **Lifecycle model** as **Quality**.
4. In the **Name** field, enter a descriptive name for the lifecycle model, such as **Quality review**.
5. Select **Save**.

Setup Functional Location MSD 365 F&O

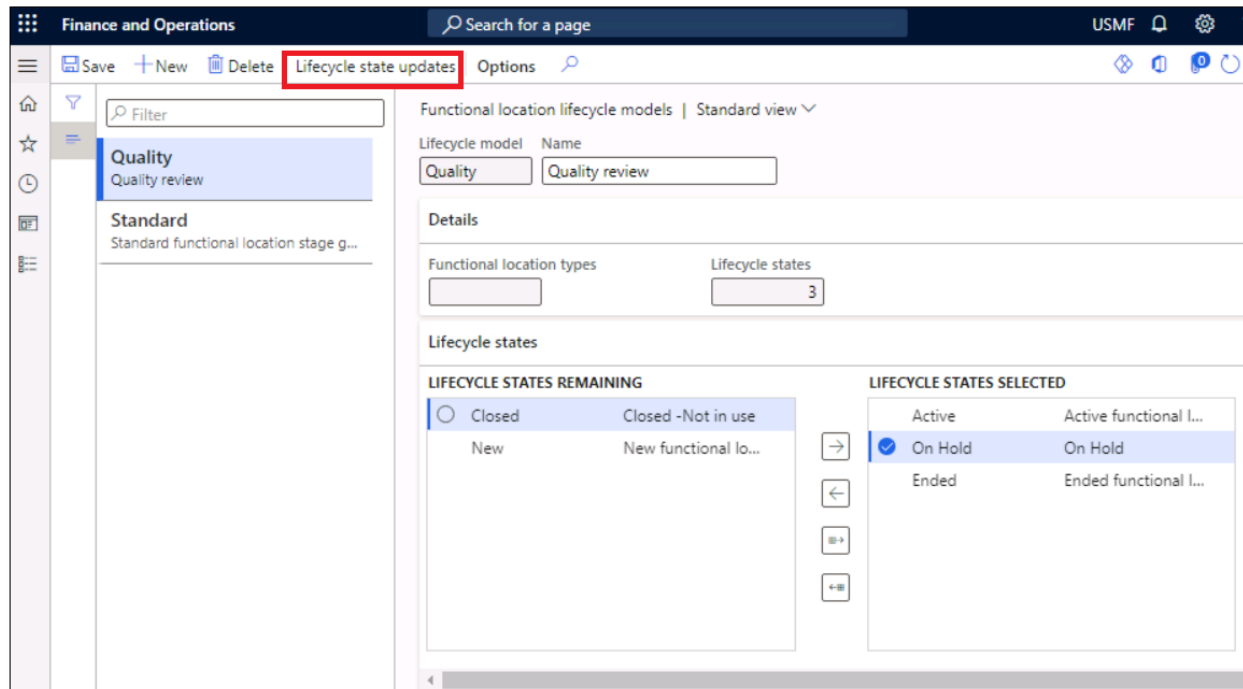


6. Under the **Lifecycle states** FastTab, the active lifecycle states appear in the **Lifecycle states remaining** section at the left. Select the **Active**, **On Hold**, and **Ended** lifecycle states.
7. Select the right arrow button to move the selected lifecycle states to the **Lifecycle states selected** section.
8. Select **Save**.



Setup Functional Location MSD 365 F&O

- When you exit the **Functional location lifecycle models** page and then come back into it again, you will see the **Lifecycle states** field in the **Details** FastTab automatically populated.
- Access the **Lifecycle state updates** tab on the Action Pane.



- Next to **Active**, select the **Ended** and **On Hold** states. These are the functional location lifecycle states that the Active lifecycle state can be changed to.
- Next to **Ended**, select the **Active** check box. The **Ended** state can be changed to **Active**.
- Next to **On Hold**, select the **Active** check box. The **On Hold** state can be changed to **Active**.
- Select **OK** to save the changes.

Setup Functional Location MSD 365 F&O

Setup allowed updates for Functional location lifecycle states

Lifecycle model: Quality - Quality review **1**

	Active	Ended	On Hold
ACTIVE		☒	☒
ENDED	☒		☐
ON HOLD	☒	☐	

2

Create functional location types

Now you can practice setting up a default functional location type and then set up a regular functional location type.

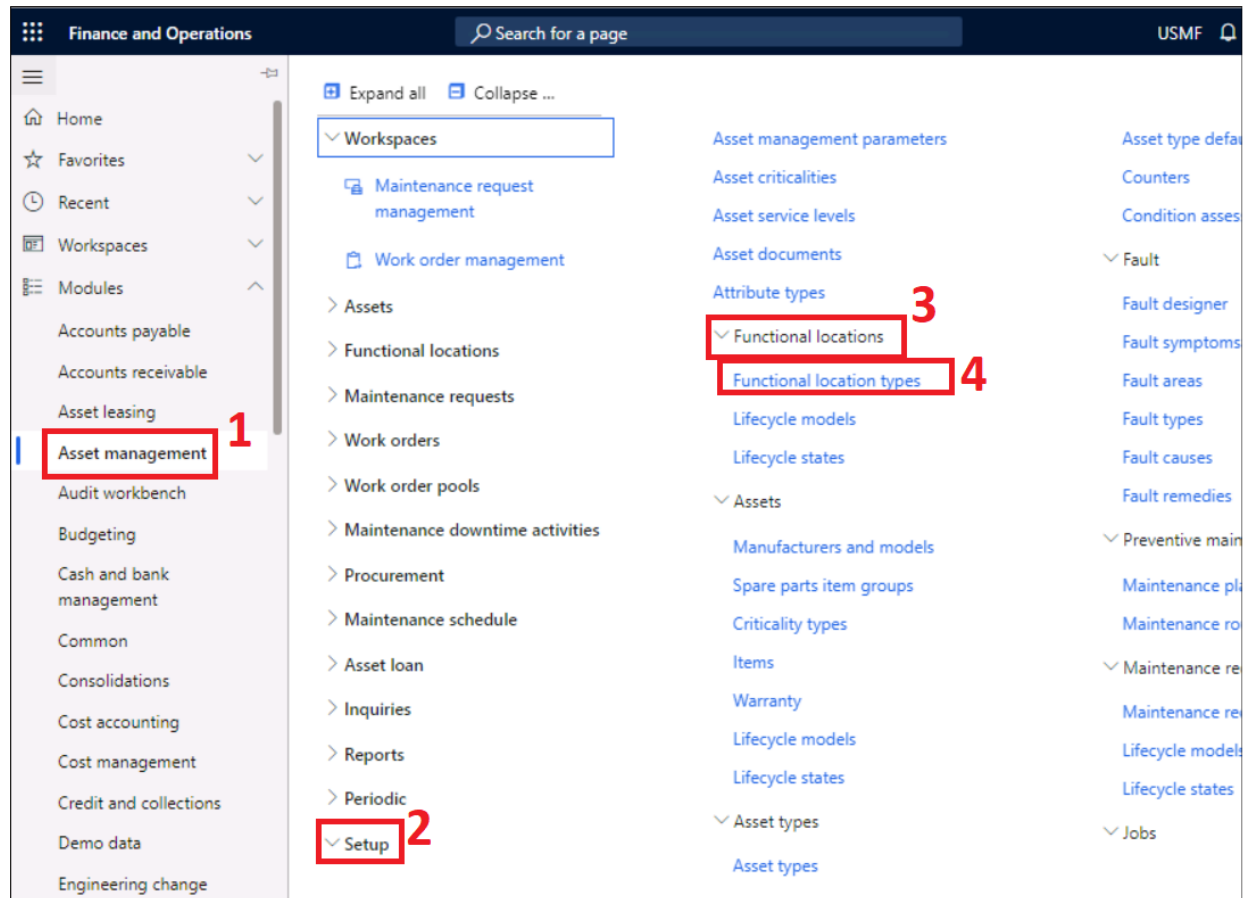
Munson's Pickles and Preserves Farm needs a new functional location type established for a new office that was created and responsible for managing quality control of the salsa. Your task is to add a new functional location.

Create a default functional location type

A default functional location type must be established for use when new assets are created.

1. Go to **Asset Management > Setup > Functional locations > Functional location types**.

Setup Functional Location MSD 365 F&O



2. Select **New** to create a new functional location type.
3. Enter **Default** as the new functional location type ID in the **Functional location type** field.
4. Enter **Default location** as the **Name** of the functional location type.
5. Select **Standard** as the **Functional location lifecycle model** under **LIFECYCLE STATE** section.
6. To allow assets to be installed on this type of functional location, select **Yes** on the **Multiple assets** toggle bar. This selection creates a default functional location.
7. **Save** the new default functional location type.

Setup Functional Location MSD 365 F&O

The screenshot shows the SAP Finance and Operations (F&O) interface for setting up a functional location type. The interface includes a top navigation bar with 'Finance and Operations' and a search bar. Below the navigation bar is a toolbar with buttons for 'Save', '+ New', 'Delete', 'Copy', and 'Options'. The left-hand navigation pane shows a tree structure with 'Default' selected under 'Area'. The main area displays the 'Functional location types' configuration page. Red boxes and numbers highlight key steps: 1. The '+ New' button in the top toolbar. 2. The 'Functional location type' and 'Name' fields, both containing 'Default'. 3. The 'Functional location lifecycle model' dropdown menu, set to 'Standard'. 4. The 'Save' button in the top toolbar.

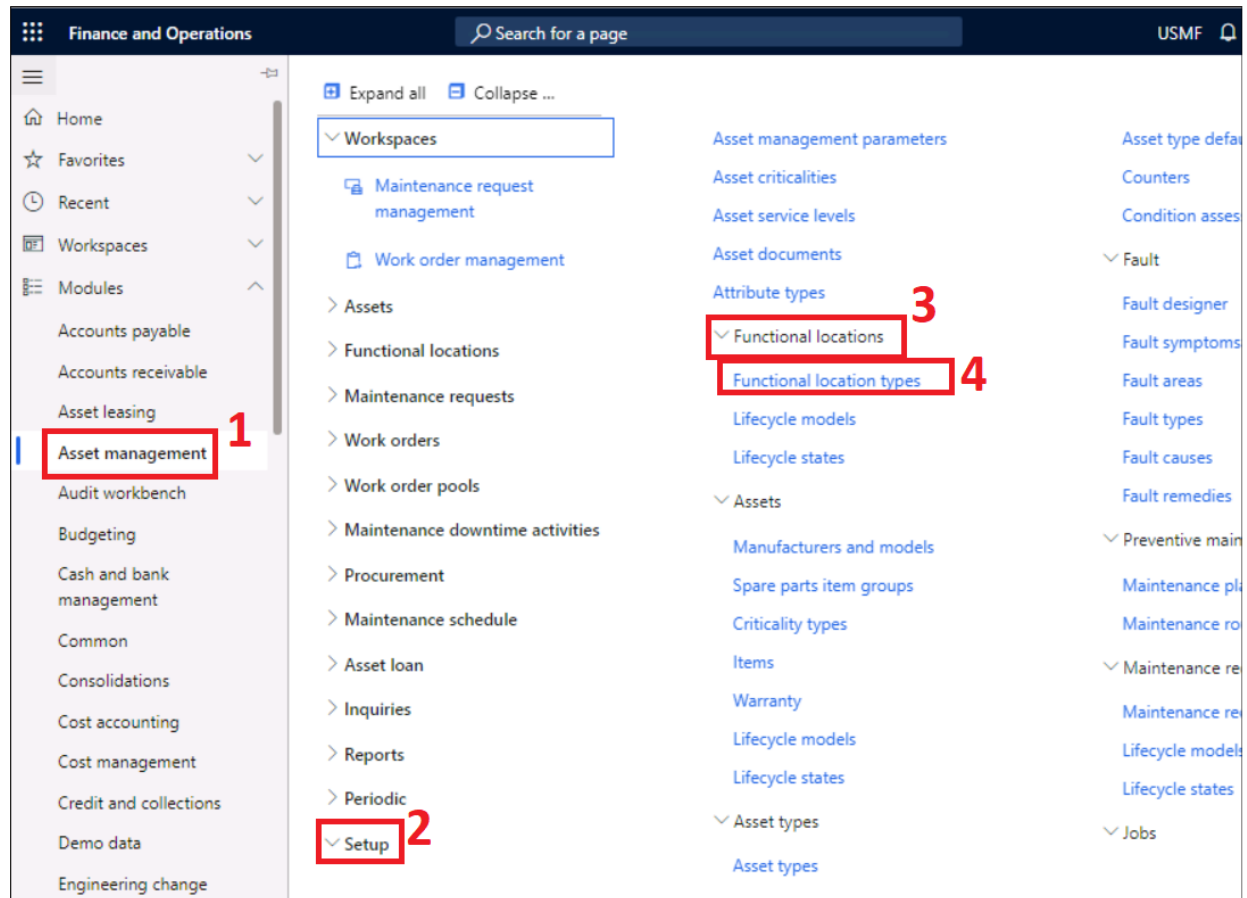
Create a functional location type

Munson's Pickles and Preserves Farm is taking the quality of their products seriously. They have established a new location for their quality department.

Your next task is to create a new functional location type for Munson's Pickles and Preserves Farm's new Quality location.

1. Select **Asset Management > Setup > Functional locations > Functional location types**.

Setup Functional Location MSD 365 F&O



2. Select **New** to create a functional location type.
3. Enter **Office Building** in the **Functional location type** field to insert a functional location type ID.
4. Enter **Quality office** as the functional location type name in the **Name** field.
5. Select a lifecycle model in the **Functional location lifecycle model** drop-down menu. Select **Quality**.
6. Select **Yes** on the **Multiple assets** toggle button.
7. Select **Yes** on the **Update asset dimension** toggle button.
8. Leave the **Asset type** field blank.
9. Select **Save**.

Setup Functional Location MSD 365 F&O

The screenshot shows the SAP S/4HANA Finance and Operations interface. The top bar includes the 'Finance and Operations' title, a search bar, and the 'USMF' user. The main area is divided into a left sidebar and a right pane. The sidebar contains a 'Filter' bar and a list of functional location types: 'Office Building' (Quality office), 'Area' (Area), 'Default' (Default location), and 'Plant' (Plant). The right pane shows the 'Functional location types' table with columns 'Functional location type' and 'Name'. A red box labeled '2' highlights the table header. Below the table, the 'General' section is visible, including the 'LIFECYCLE STATE' section with a dropdown for 'Functional location lifecycle model' set to 'Quality'. A red box labeled '3' highlights this section. The 'ASSET' section includes 'Multiple assets' (Yes) and 'Update asset dimension' (Yes). A red box labeled '4' highlights the 'Save' button in the top left, and a red box labeled '1' highlights the 'New' button in the top left.

1 Asset Type Tab:

If the requirement is to create a functional location specific to asset type for example this functional location type plant can contain production machines, generators, conveyors, and forklifts.

If we attach a forklift, then this functional location type will accept only the forklift asset type.

If we leave this field blank, then it's open for all types of assets.

Setup Functional Location MSD 365 F&O

Finance and Operations > Asset management > Setup > Functional locations > Functional location types

Standard view

Functional location types

Functional location type Name
Plant Plant

General

LIFECYCLE STATE
Functional location lifecycle model
Standard

ASSET
Multiple assets
Yes

Update asset dimension
Yes

Asset type
Forklift

DETAILS
Asset types
1
Maintenance plans
1

Asset attribute requirements
Permitted types

Attributes
Functional locations
1

Asset types
+ Add line - Remove
Asset type
Forklift Forklift

3.2 Maintenance plan Tab:

If you set the default maintenance plan on the functional location type. It will be applicable for all the assets attached to this functional location type. These features we can use if multiple assets are linked with the same maintenance plan. We can easily group multiple assets having the same maintenance plan.

Finance and Operations > Asset management > Setup > Functional locations > Functional location types

Standard view

Functional location types

Functional location type Name
Plant Plant

Maintenance plans
+ Add line - Remove
Maintenance plan

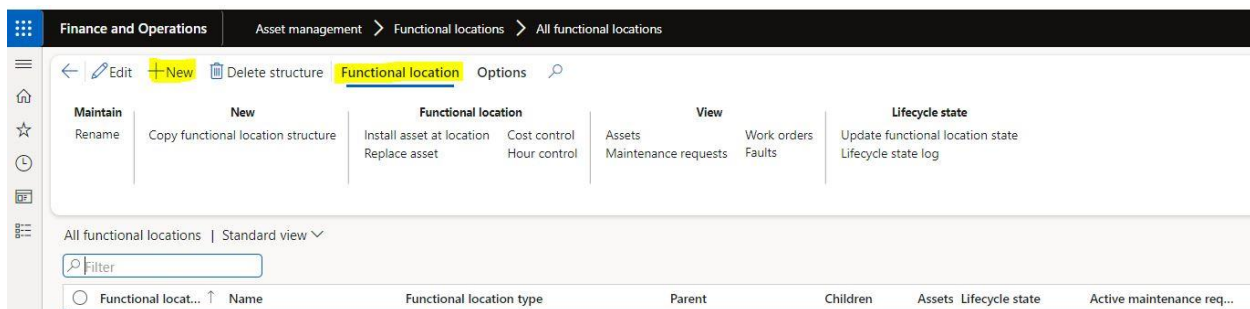
We didn't

4. Create functional Location:

The functional locations can be user-oriented and used to manage assets that have similar behavior. We can set up a hierarchy of functional locations as well in systems. For example, Car will be the parent's functional location that has multiple sub-functional locations where different type of assets is managed.

The following procedure describes how you create the functional locations required for maintenance management in your company.

1. Select **Asset management** > **Functional locations** > **All Functional locations**.
You can create a functional location from the grid view or details view.
2. Select the **New** button.
3. Insert an ID in the **Functional location** field.
4. Insert a name for the functional location in the **Name** field.
5. If the functional location is a sub-location in a structure, select the parent location in the **Parent** field.
6. Select a type in the **Functional location type** field.
7. Select **OK**.



Setup Functional Location MSD 365 F&O

Standard view 

Create functional location

Functional location

Name

Parent

Functional location type

Funcio... ↑	Name
Plant	Plant

Summary

We must need to create a basic functional location to be used only for the purpose of creating new assets

All the mentioned setup in this document is mandatory for creating a functional location in the system.

On the **General** FastTab of the functional location, you can get an overview of the number of asset types, maintenance plans, asset attribute requirements, permitted types, attributes, and functional locations that are set up on the functional location type. The **Functional locations** field shows the number of functional locations that use the functional location type.

you can copy the settings from a functional location type to the selected functional location type by using the **Copy** button on the Action Pane.

Feedback and queries.

That's all for this weekend, If you have any questions or feedback, feel free to contact me at **Rehan.ahmed1988@hotmail.com**

Next blog series 1 part 2 will be on the setup of Assets.

Thank you

Rehan Ahmed